EVENTS

ANALYSIS A: Long-run growth

→**1900s**: Here, all the countries in analysed had a growing economy, except for Romania and Portugal, which suffered from a State Bankruptcy in 1902. That provoked a decline in the GDP per Capita, making Portugal the poorest country in all of Western Europe.

→**1910s**: We can see a decline in the GDP per Capita in almost every country: Portugal, Germany, France, Belgium, Italy, Romania and Greece suffered from their participation in World War I (1914-1918). Greece also participated in Balkan Wars from 1912 to 1913, which explains the fluctuating values in its GDP per Capita during this decade.

→**1920s**: In general, all the economies rose after the chaotic 1910s. However, we can see contractions in Germany in 1923, which can be explained by a hyperinflation crisis, and in Portugal, in 1928 Salazar was appointed as Minister of Finance, imposing fiscal austerity.

→**1930s**: This decade is clearly divided in two halves for the majority of the countries: in the first half countries like France, Poland and Belgium took the impact of the Great Depression from the end of the previous decade. All of these countries had a good recovery in the second half of the decade. Spain faced a civil war from 1936 to 1939, so, as expected, its GDP per Capita fell.

→**1940s**: World War II had a major impact on the economies of the countries involved, although the effects varied across countries. France's GDP per capita fell by approximately 50% following the German occupation in 1940, while Belgium experienced a decline of around 20%. Greece also suffered a sharp decline following the Italian invasion in 1940. In Italy, Mussolini's fall in 1943 coincided with a decline in GDP per capita, while Romania's change of sides in 1944 and the subsequent Soviet invasion coincided with a significant economic decline. Germany also experienced a major fall in GDP per capita around the end of the war in 1945. In contrast, Portugal remained neutral and benefited economically from trade with both sides, allowing its economy to grow while several other countries suffered. The liberation of France and Belgium in 1944 marked the beginning of their economic recovery.

→**1950s**: Germany experienced impressive economic growth during this decade, with its GDP per capita doubling. This growth was partly supported by increased exports during the Korean War, which stimulated demand for German industrial goods. This was a decade of development in Portugal, both in transport and industry (I and II Plano de Fomento, respectively, in 1953 and 1959), giving context for a growth in its GDP per Capita.

→**1960s**: Spain experienced rapid economic growth during its economic miracle, while Italy also underwent an economic miracle driven by industrialization and mass internal migration. France experienced strong economic growth during *Les Trente Glorieuses*, a period characterized by modernization and urbanization. These developments help explain the increasing GDP per capita observed in these countries during the decade. Portugal continued its industrial development with III Plano de Fomento (1967), influencing positively the country’s economic numbers.

→**1970s**: The 1973 oil crisis slowed economic growth across Europe, affecting Portugal, Germany, France, Italy, Belgium and Spain. This event helps explain the economic slowdown observed during the decade. Portugal, however, experienced strong growth until 1973, supported by industrial expansion and the establishment of SETENAVE in 1972.

→**1980s**: Romania experienced severe shortages due to policies aimed at repaying its foreign debt. These policies contributed to economic difficulties during the decade, helping to contextualize the country's GDP per capita evolution. Portugal suffered from fiscal and external imbalances: a second IMF bailout in 1983 helped them to recover the economy in the following years.

→**1990s**: Ireland experienced strong economic growth during the Celtic Tiger period, supported by foreign direct investment, which helps explain the increase in its GDP per capita. In contrast, Poland, Romania and Hungary faced economic difficulties during their transition to market economies in the early 1990s. Germany's reunification in 1990 also brought major economic changes, helping to explain the differences in its economic performance during this period.

→**2000s**: Portugal experienced economic stagnation from 2003 onwards. The 2008 global financial crisis affected most countries analysed, including Portugal, Germany, France, Spain and Ireland, contributing to the economic difficulties observed towards the end of the decade. Spain experienced a particularly severe crisis following the collapse of its housing bubble, while Ireland faced a banking and property crisis in 2008. In contrast, Poland was the only EU country to avoid recession during the global financial crisis, making its economic performance notably different from that of many other countries analysed.

→**2010s**: Portugal's economic crisis led to a Troika bailout in 2011, followed by severe austerity measures, which help contextualize the country's economic difficulties during the early part of the decade. Portugal exited the bailout programme in 2014, marking a turning point towards economic recovery. Tourism contributed to Portugal's economic growth during the second half of the decade. Greece continued to struggle with its sovereign debt crisis, while Spain's economy began recovering in 2014. Ireland experienced a sharp increase in GDP in 2015, partly due to multinational companies and accounting changes.

→**2020s**: The COVID-19 pandemic provoked an economic downturn across the countries analysed in 2020. Portugal's GDP per capita fell partly due to the collapse in tourism, while Spain, Italy and France also experienced significant economic difficulties. In 2021, Portugal received €16.6 billion through the EU's Recovery and Resilience Plan to support its economic recovery. This funding provides context for the recovery period, although its receipt alone does not establish that it caused subsequent economic growth.

ANALYSIS B: European comparison

→**1975 to 1979**: In the second half on the 1970 decade, Portugal was considerably behind the major Western European countries in terms of GDP, GNI and Life Expectancy, being closer to Greece in all three indicators and ahead of Ireland only in GDP (mostly due to population differences). In those 5 years, Portugal registered a good recovery in GDP and GNI after the oil crisis in 1973, but still at a slower rate when compared to the other countries. Portugal however had an enormous boom in Life Expectancy compared to the rest of Western Europe, mostly due to the end of the Colonial War in 1974.

→**1980s**: Here, the majority of Western European countries have strengthened their economies and the GDP and GNI values reflect that tendency. However, Portugal suffered from fiscal and external imbalances, leading to a decrease in their GDP and GNI values in the first half of the decade, widening the gap to the rest of Western Europe. A second IMF bailout in 1983 and joining the EEC in 1986 helped Portugal to recover from a GDP of 127,462,176,351 to 164,059,396,971 and a GNI of 2520 to 6320 from 1984 to 1989 (an increase of, respectively, 28,71% and 150,79%), making Portugal the second fastest growing country in GDP and the fastest in GNI in that period.

→**1990s**: Portugal continued to develop its economy, with GDP increasing by 25.3% between 1990 and 1999. GNI per capita also increased considerably, from 7130 to 12260, while life expectancy rose from 74 to 76 years. Privatizations and the development of Autoeuropa, which began production in 1995, supported Portugal's economic transformation. Joining the Eurozone in 1999 further strengthened its European integration. Ireland experienced rapid growth during the Celtic Tiger period, while Germany faced the economic challenges of reunification. In Central and Eastern Europe, Czechia, Hungary, Poland and Romania also experienced economic growth and increasing life expectancy. However, their GNI per capita remained below Portugal's, particularly in Romania, highlighting the economic gap between Eastern and Western Europe at that time.

→**2000s**: Portugal reached a peak in economic convergence in 2000, when its GDP per capita reached 70% of the EU-12 average. However, economic stagnation began in 2003, widening the gap with Western Europe. Despite joining the Eurozone in 1999 and adopting euro banknotes and coins in 2002, Portugal's GDP growth remained weak. The 2008 global financial crisis further affected the economy, with GDP falling from 268.2 billion in 2008 to 261.2 billion in 2009. GNI per capita increased from 12,180 in 2000 to 22,970 in 2009, while life expectancy rose from 76.3 to 78.7 years. Meanwhile, Central and Eastern European countries experienced substantial economic growth, particularly Czechia and Poland, whose GNI per capita increased considerably during the decade. With that, Portugal started to get economically caught by Eastern European countries rather than getting closer to Western Europe in that matter.

→**2010s**: Portugal faced a severe economic crisis at the beginning of the decade, with a Troika bailout in 2011 and austerity measures that contributed to unemployment peaking at around 16% in 2013. The economy gradually recovered after exiting the bailout programme in 2014, supported by tourism and the growth of the technology sector. By 2019, Portugal recorded its first budget surplus since democracy. GNI per capita increased from 23,030 in 2010 to 23,250 in 2019, while life expectancy rose from 79 to 81.7 years. However, economic growth was uneven throughout the decade. In Central and Eastern Europe, Czechia and Poland experienced substantial increases in GNI per capita, while Romania remained considerably behind. Western European countries generally maintained higher GNI per capita, particularly Ireland, although its GDP figures were strongly influenced by multinational companies. Life expectancy increased across all countries, with Portugal narrowing the gap with several Western European countries.

→**2020s**: The COVID-19 pandemic caused an economic downturn across Europe in 2020, particularly in Spain, Italy and France. Portugal's economy recovered, reaching pre-pandemic GDP levels in 2022, and public debt fell below 100% of GDP in 2023. GNI per capita increased from 21,910 in 2020 to 26,940 in 2024, remaining below most Western European countries. Czechia and Poland continued to catch up economically, while Romania remained behind. Life Expectancy temporarily declined in several countries during the pandemic before recovering. By 2024, Portugal reached 82.4 years, exceeding Germany and Greece, but remaining below Spain and Italy.

ANALYSIS C: Structural Transformation

→ In 1995, agriculture accounted for 4.8% of Portugal's GDP, representing a relatively high share compared with Western European countries such as Belgium (1.3%), Germany (1.0%) and France (2.3%), but a much lower share than in several Eastern European countries, such as Romania (18.2%), Lithuania (9.8%) and Latvia (8.1%). Portugal's industry accounted for 24.8% of GDP, below Germany (29.3%) and Spain (28.4%), while services represented 58.5%, a lower share than in Belgium (62.8%) and France (65.0%).

→ Overall, the data reveals a common European trend between 1995 and 2025: the relative contribution of Agriculture and Industry generally decreased, while Services gained importance. This trend continued in Portugal despite investments and developments such as the beginning of Autoeuropa's production in 1995, the completion of the Alqueva Dam in 2002 and the formation of Galp Energia in 2004. The closures of Lisnave Margueira in 2000 and Siderurgia Nacional's blast furnace in 2001 also illustrate the transformation of Portugal's traditional industrial sector.

→ The COVID-19 pandemic in 2020 introduced a major shock to economic activity, particularly affecting service activities such as tourism and hospitality, although its impact on each sector's share varied between countries.

→ By 2025, Portugal's agricultural share had fallen from 4.8% to 2.0%, while Industry declined from 24.8% to 18.3%. In contrast, Services increased from 58.5% to 66.6%. A similar pattern can be observed across the European Union, where Agriculture decreased from 2.5% to 1.6%, Industry from 26.6% to 22.2%, and Services increased from 61.0% to 65.9%. These final values confirm the long-term shift towards a greater relative contribution of Services, while also showing that Portugal ended the period with a lower industrial share and a slightly higher services share than the EU average.